

Contingency Planning: Ensuring Business Continuity in the Face of Disruption

Alan B. Palayil

University of the Cumberland

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Dr. Michael Grabinski

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Businesses face a lot of risks these days, from natural catastrophes and cyberattacks to regulatory failures and global crises. Organizations use contingency planning to deal with these concerns. This is a process that comes up with backup plans when "business as usual" is interrupted. Business continuity planning (BCP) is an improved kind of contingency planning that makes sure that important functions keep going even when things go wrong.

The National Institute of Standards and Technology (NIST SP 800-34) says that contingency planning is necessary for keeping operations going in case of problems (Swanson et al., 2010). Without this kind of planning, businesses might lose money, hurt their brand, and break the law. This research examines the advantages of scenario-based contingency planning, essential inquiries for execution, and prevalent forms of scenario planning. It combines readings from the course with scholarly research and looks at real-world occurrences to show how organizations might become more resilient.

Advantages of planning and scenario events

Scenario planning gives businesses an organized way to think ahead and get ready for interruptions by coming up with flexible answers. Some of the most important benefits are:

1. **Better Risk Awareness and Preparedness:** Scenario events help companies find weaknesses before they become problems. For instance, Margherita and Heikkilä (2021) discovered that top firms during COVID-19 used scenario planning to deal with both supply chain problems and worker availability, which helped them change more quickly than their competitors.

2. **Better Decision-Making Under Stress:** Leaders may make faster, better-informed judgments in real emergencies if they practice reaction scenarios. NIST says that having contingency plans makes things less confusing and speeds up recovery, especially when recovery time goals (RTOs) are already set (Swanson et al., 2010).
3. **Business Continuity and Competitive Advantage:** Businesses with good backup plans may go back to work quickly, which means fewer protracted outages. The Target data breach of 2013, which made millions of customer details public, is a good example of this. Target's slow response and lack of verified backup plans cost the corporation more than \$200 million and hurt consumer trust (Romanosky, 2016).
4. **Following the law and rules:** Many businesses, like banking, health care, and critical infrastructure, need to have a strategy in case something goes wrong because of legislation like HIPAA and SOX. Scenario preparation shows that you did your homework and lowered your risk during investigations.

Key Questions to Consider in Implementation

To make strong backup plans, companies need to ask themselves a few important questions:

1. **What are the procedures that are most important to the mission?**

An examination of the business's influence finds important systems, people, and records. For example, hospitals need to put patient records first, whereas financial services need to put transaction systems first.

2. What are the chances of a problem happening and what are the risks?

Companies need to keep track of both natural hazards (like hurricanes and pandemics) and man-made risks (such cyberattacks and threats from inside the company). Annualized loss expectancy (ALE) and other quantitative indicators assist with figuring out financial risk, while qualitative techniques deal with less concrete problems like reputation.

3. What do you need?

Cloud backups, other work sites, cross-trained workers, and redundancy are all important parts of good contingency planning. To keep running during interruptions, organizations may also need backup ways to communicate, contracts with outside contractors for emergency help, and access to emergency finances. Also, spending money on staff training, cybersecurity technologies, and scalable infrastructure makes sure that the business can swiftly adjust and keep going in a variety of situations.

4. Who is in charge of carrying out the plan?

Plans must give duties to a continuity team that includes people from several departments, including IT, cybersecurity, HR, legal, and finance. Plans that are carefully thought out won't work if there is no accountability.

5. How will compliance be kept up?

Contingency planning must make sure that rules and regulations are followed even when things go wrong. Even if systems are down, a healthcare provider must still protect patient data under HIPAA.

6. How will the strategy be tested and changed?

Plans must be tested with simulations and kept up to date all the time. The Amazon Web Services (AWS) 2017 outage showed how important it is to be ready for service interruptions in your area. Many businesses weren't ready, which caused downtime and lost sales (Shackelford, 2017).

Types of Scenario Planning That Are Common

Companies employ several different ways to predict hazards, and they commonly combine them for full coverage:

1. **Operational Scenarios:** Talk about problems that happen every day, such as system breakdowns or delays in the supply chain. For instance, logistics businesses practice closing ports to come up with new ways to get things where they need to go.
2. **Strategic Scenarios:** Think about long-term dangers like changes in rules or instability in the world. Ramirez and Wilkinson (2016) talk about how strategic scenarios may assist to make sure that resilience planning fits with the goals of the company.
3. **Quantitative Scenarios:** Use numbers like ALE and exposure factors to figure out how much money will be lost. A bank may, for instance, predict how much money it could lose in a DDoS assault.
4. **Qualitative Scenarios:** These provide you with narrative-driven views that are helpful for risks that can't be measured, such as harm to your reputation or insider fraud.

5. **Mixed Scenarios:** For a more balanced view, use both methods. For example, a ransomware scenario may figure out how much it would cost to pay the ransom while also considering damage to reputation and fines from regulators.

Integrating Cybersecurity and Contingency Planning

Because cybercrime is on the rise, cybersecurity and contingency planning are now one and the same. Marcus Burger et al. (2020) contend that dependence only on prosecution is futile, as attackers frequently operate transnationally with minimal responsibility. Organizations need to use cybersecurity solutions like Zero Trust Architecture (ZTA), identity and access management (IAM), and multi-factor authentication (MFA) instead.

For instance, if you expect a ransomware attack, you need to have backups and clear plans for both the legal response and the communication strategy. Legal response includes determining when to involve law enforcement, how to comply with breach notification laws such as GDPR or HIPAA, and whether ransom negotiations (if any) can be conducted without violating regulations. Communication strategies, on the other hand, ensure that employees, customers, stakeholders, and the public receive timely, accurate, and consistent information. This may involve pre-drafted press releases, internal employee alerts, customer hotlines, and coordination with public relations teams to prevent misinformation or reputational damage.

Real-world examples show how important it is to plan how to communicate. People generally say that the Equifax hack in 2017 was a failure because the corporation waited too long to tell people about it, gave them incorrect information, and lost their confidence (Federal Trade Commission [FTC], 2019).

Scenario planning makes ensuring that both technology protections and company rules work together to keep information secure, private, and available during these kinds of emergencies.

Critical Analysis: Pros and Cons

Contingency planning has many advantages, but it also has some drawbacks. Quantitative methods may not be considered "unknown unknowns," while qualitative methods may be biased. When disasters happen, organizations generally don't update their plans often enough, thus they are out of date. Herbane (2019) says that many small and medium-sized businesses (SMEs) see contingency planning as a chore that needs to be done to stay in business, not as a strategic goal. This leaves them less resilient.

So, a balanced, constantly updated strategy that blends operational exercises with strategic foresight is necessary.

Planning for the unexpected is an important part of making an organization strong. By planning for problems, businesses may make better decisions, follow the rules, and get ahead of the competition. Asking the correct questions makes sure that plans can be put into action, and employing different sorts of scenarios makes sure that all aspects are covered. Combining several cybersecurity measures makes you even more resistant to contemporary attacks.

The data breach at Target and the outages at AWS are two real-world examples of how poor planning can be quite expensive. On the other hand, proactive contingency planning, like what happened during the COVID-19 crisis, shows that businesses may not only survive but even do well during times of trouble. Businesses need to think about contingency planning as a strategy that changes and grows over time, not as a static blueprint.

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